CSIS KOREA CHAIR

Korea Daily Brief

Thursday, October 15, 2026

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KOSPI	USD/KRW	BRENT	BOK RATE
5,554.22	1,344.66	$104.52	2.50%
▼ -7.6%	▲ +0.3%	▼ -1.4%	Oct 2026

TODAY AT A GLANCE

1. North Korea test-fired two types of submarine-launched strategic cruise missiles from a submarine in the East Sea on Wednesday, the fifth DPRK test event in October and the first underwater-launched missile test in nearly three years.
2. The New Yalu River Bridge between Sinuiju and Dandong officially opened at 10 a.m. local time Thursday, more than a decade after China completed construction, with trucks crossing in both directions.
3. KOSPI plunged *7.57%* and triggered a circuit breaker on AI demand and US inflation worries, hitting a six-month low as chipmaker shares led the rout.

TOP STORIES

DPRK

North Korea tests two types of submarine-launched strategic cruise missiles — first underwater launch in nearly 3 years

KCNA reported Thursday that North Korea test-fired 'two kinds of submarine-launched strategic cruise missiles' (SLCMs) from a submarine in the East Sea on Wednesday, the first underwater-launched missile tests in nearly three years. The test follows the Defense Revolution Museum opening on Oct 13 featuring the Hwasong-20 ICBM, and the Oct 12 tactical ballistic missile salvo — making this the fifth DPRK test event in October. AP released images from the test showing the launches.

NK News · AP News · Reuters

CHINA-KOREA

North Korea and China officially open the New Yalu River Bridge after a decade of delay

North Korea and China opened the New Yalu River Bridge at 10 a.m. local time Thursday in a ceremony at Sinuiju, with trucks crossing in both directions per Xinhua footage — more than a decade after Beijing completed construction. The bridge is the longest NK-China border crossing, and CNN asked whether it will

help Pyongyang evade UN sanctions. Nikkei reported China-North Korea cross-border traffic is expected to increase substantially.

NK News · NYT · Reuters · Bloomberg · CNN · AP · Nikkei

BUSINESS

KOSPI crashes *7.57%*, circuit breaker triggered, as chipmakers rout on AI demand and inflation fears

South Korea's KOSPI fell *7.57%* to close at 5,554.22 — a six-month low — as chipmaker shares led a tech selloff driven by concerns over AI demand sustainability and US inflation data. KRX activated a sell-side sidecar and then a 20-minute circuit breaker as the index dropped. Bloomberg reported Korea stocks tumbled approximately 8% as investors rushed to unwind AI exposure, with Samsung Electronics shares falling more than 9% intraday per 매일경제.

Yonhap · Bloomberg · Reuters · WaPo

US-KOREA

Seoul warns 'moving goalposts' on OPCON conditions could block wartime command transfer permanently

A senior ROK defense official warned that repeatedly revising the conditions for wartime operational control (OPCON) transfer would make the process 'never' achievable, responding to USFK Commander Gen. **Xavier Brunson**'s statement that 'conditions have changed.' Defense Minister **Kang Shin-chul** confirmed Seoul formally conveyed its concerns to Washington. The US and ROK agreed at yesterday's sources-cited meeting to hold key defense talks after the US midterm elections.

NK News · Yonhap · Reuters

OVERNIGHT

US-KOREA	US drops charges against ex-CIA analyst Sue Mi Terry accused of working for South Korean intelligence · Washington Post DOJ halts prosecution; no explanation given publicly.
JAPAN-KOREA	Seoul and Tokyo extend $10B currency swap deal by three years to November 2029 · Yonhap English Extended at Bangkok meeting; deal now runs to Nov 2029.
NK-RUSSIA-CHINA	Russia pledges to deepen ties with North Korea at diplomatic anniversary reception · Yonhap English Pledge made at reception marking bilateral diplomatic anniversary.
DPRK	NK News analysis traces how North Korean missiles reached Houthi rebels in Yemen · NK News Houthi Red Sea offensive powered partly by NK-derived weapons.
DPRK	US court sentences Bosnian arms dealer Sasa Micev to 5 years for scheme to procure DPRK anti-aircraft missiles · NK News Worked with co-conspirator in New Mexico; DOJ confirms sentence.

CHINA-KOREA

Chinese travel agents openly advertise North Korea business delegations to Rason and Pyongyang on social media · NK News

Includes factory visits; tourism ban technically still in place.

STAT OF THE DAY

3 years

Gap since last DPRK underwater-launched missile test

North Korea's Wednesday SLCM test from a submarine was the first underwater-launched missile test in nearly three years, resuming a submarine-based nuclear delivery capability demonstration that had been dormant since late 2023.

AP News — 'North Korea holds first underwater-launched missile tests in nearly 3 years'

PYONGYANG WATCH · KCNA

KIM JONG UN **WATCH FLAG**

No appearance (2d since last)

TOP KCNA ARTICLES

1. **North Korea tests two types of submarine-launched strategic cruise missiles from submarine in East Sea**
   KCNA confirmed Wednesday's test of 'two kinds of submarine-launched strategic cruise missiles' — the first underwater-launched missile test in nearly three years — from a submarine in the East Sea. — KCNA (Yonhap)
2. **China and North Korea to finally open long-unused New Yalu River Bridge**
   Xinhua confirmed the New Yalu River Bridge would open Thursday at 10 a.m. local time — more than a decade after construction was completed. — KCNA (NK News)

> **Bottom line:** KCNA's confirmation of the SLCM test — the fifth DPRK test event in October and the first underwater launch in nearly three years — signals the testing surge is continuing even as Trump floats a Kim meeting. Watch for KCNA's framing of any US diplomatic signal and whether Kim Jong Un makes a public appearance following the two-day absence.

ROK GOVERNMENT

President + Ministries · Thursday, October 15, 2026

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee meets US-Korea Business Council chair; calls for US investment in ROK

President Lee Jae-myung

President **Lee Jae-myung** met with US-Korea Business Council chair Evan Greenberg and

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee marks approaching 500th day in office, pledges focus on housing, jobs, finance

President Lee Jae-myung

former Speaker Kevin McCarthy, urging the council to promote US investment in Korea and asking the business community to play a more active role in the alliance's economic dimension. Lee emphasized that ROK foreign policy is grounded in 'practical national interest' diplomacy.

Primary Yonhap EN ↗

President Lee pledged to prioritize people's livelihoods — specifically housing, employment, and financial access — as his administration approaches its 500th day. Lee stated the government's reform agenda is proceeding 'more swiftly than promised.'

Primary Yonhap EN ↗

청와대 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee approves appointment of Kim Ji-yong as inaugural SCIA director

President Lee Jae-myung

President Lee approved the appointment of **Kim Ji-yong** as the inaugural chief of the Serious Crimes Investigation Agency (중대범죄수사청 / SCIA) on the same day the National Assembly's Interior Committee adopted the confirmation hearing report by bipartisan agreement. Some legislators, including within the Democratic Party, registered 'unqualified' opinions citing Kim's prosecutorial background.

Primary 동아일보 ↗

PERSONNEL CHANGES

Kim Ji-yong APPOINTED
Chief, Serious Crimes Investigation Agency (중대범죄수사청장 / SCIA Director)
President Lee Jae-myung approved the appointment of Kim Ji-yong as inaugural SCIA director on the same day the National Assembly Interior Committee adopted his confirmation hearing report by bipartisan agreement. The SCIA launched October 2 without a director; Kim will now lead its full activation.

NATIONAL ASSEMBLY

Adopts confirmation hearing report for SCIA chief nominee Kim Ji-yong
Interior and Safety Committee (행정안전위원회)
The National Assembly Interior Committee voted by bipartisan agreement to adopt the confirmation hearing report for Kim Ji-yong as inaugural SCIA director. Both PPP and some DP members registered 'unqualified' opinions citing his prosecutorial background, but the report passed; President Lee approved the appointment the same day.

• US-KOREA TRADE & INVESTMENT

Steel and aluminium remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, so there is no baseline reciprocal tariff. Section 301 is now the primary vehicle for any new measure.

TARIFFS

EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now primary tariff vehicle; sector 232 rates still in force.

WATCH THIS DATE
next trigger: Section 301 determination — pending, no fixed date

SECTOR RATES

Steel & Aluminum	SECTION 232	50%
Copper	SECTION 232	50%
Automobiles & Auto Parts	SECTION 232	15%
Timber / Lumber / Wood Derivatives	SECTION 232	15%
Semiconductors (advanced logic)	SECTION 232 (PROCLAMATION 11002)	25%
Pharmaceuticals	SECTION 232	up to 15%
Civil Aircraft & Parts	US-KOREA DEAL EXEMPTION	0%
Generic Pharma / Precursors / Rare Natural Resources	ALIGNED PARTNERS LIST	0%

INVESTMENT · $350B PLEDGE

$350B pledged

$150B shipbuilding (MASGA), $200B strategic sectors, $100B energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

$350B PLEDGE · SELECTED PROJECTS

Encinal gas-fired power plant, Texas Energy — Texas, 6.3 GW	$22.3B

NEW THIS WEEK

Taihan Cable wins ₩120B HVAC system order in United States `₩120B (~$89M)` `New deal`

South Korea's Taihan Cable & Solution secured a ₩120 billion high-voltage cable system order in the US, continuing Korean cable firms' expansion into American grid infrastructure.

['TAIHAN CABLE & SOLUTION', 'US COUNTERPARTY (UNNAMED)'] · YONHAP ENGLISH

FULL TRADE REFERENCE →

Investment ledger and standing policy measures.

• BUSINESS & ECONOMY

MANUFACTURING · YONHAP ENGLISH

Korean Air Q3 net profit jumps tenfold on strong passenger and cargo demand

Korean Air reported a tenfold jump in Q3 net profit driven by strong passenger and cargo performance. The airline's Boeing and GE Aerospace contracts — totaling $49.9B announced in Oct 2025 — make its financial health closely tied to the US-Korea investment ledger.

Korean Air

MACRO · YONHAP ENGLISH

South Korea's fiscal deficit hits smallest level in 8 years through August

South Korea logged the smallest fiscal deficit through August in eight years, according to the budget ministry, reflecting improved tax revenues and restrained spending. The figure provides fiscal room ahead of the December national budget vote.

FINANCE · YONHAP ENGLISH

Household loans grew slowest in 7 months in September on tighter rules and higher rates

Bank household loans grew at their slowest pace in seven months in September following tighter lending regulations and the BOK's rate posture. The deceleration eases one of the central bank's key financial stability concerns.

NORTHEAST ASIA WATCH

JAPAN-KOREA · JAPAN-DIPLOMATIC · YONHAP ENGLISH

DP leader calls for future-oriented Japan ties built on historical remembrance

South Korea's Democratic Party leader called for stronger ROK-Japan bilateral ties grounded in acknowledgment of history, framing the relationship as essential for regional stability. The statement signals the ruling party's approach ahead of expected high-level trilateral engagement.

PUBLIC SENTIMENT

PRESIDENTIAL APPROVAL

44%

— 0 pts vs Sep 15-17

Realmeter (Yonhap, Oct 15, 2026) · October 15, 2026

42% since Aug 25-27 ↓ 37% across 5 readings

RULING Democratic	OPPOSITION People Power	INDEPENDENTS
35%	26%	31%

Gallup Korea Spotlight October 15, 2026

Presidential approval — October rebound: President Lee Jae-myung's approval rating rose to 44% in a poll reported October 15, rebounding from 37% in the October 6-8 Gallup Korea survey.

THE WIRE

US-KOREA

YONHAP ENGLISH

Special counsel: 30 local election commissions falsely entered voter turnout data

A special counsel team found 30 local election commissions entered false voter turnout data; findings could revive election integrity disputes ahead of future votes.

YONHAP ENGLISH

Trump again claims South Korea will invest in Alaska LNG project under trade deal

President Trump repeated the Alaska LNG investment claim; a new White House spokesperson said $54B in the Korean investment package is tied to the Alaska gas project.

TECHNOLOGY

YONHAP ENGLISH

South Korean microsatellite constellation captures first images within a day of launch

A five-satellite ROK microsatellite constellation returned its first Earth images within 24 hours of launch, a milestone for Korea's space surveillance capability.

ANALYSIS

OFFICIALS ON X

FM Cho Hyun @FMChoHyun

“Attended the 36th Korea-US Business Council luncheon and delivered a keynote on developing the 'irreplaceable Korea-US alliance' spanning economics, technology, and security. South Korea — with leading capabilities in semiconductors, batteries, nuclear, and shipbuilding — is an indispensable partner for US manufacturing and supply chain restructuring.”

Context: Cho's appearance at the Business Council coincided with President Lee's meeting with Council chair Evan Greenberg, presenting a coordinated government-business front on the bilateral economic relationship.

View on X →

Commander UNC/CFC/USFK @CDRUNCCFCUSFK

“Spoke at the Second Annual Indo-Pacific Summit today. The ROK-U.S. Alliance has lasted over 70 years and is unlike any other in the world. My responsibility is to protect the homelands of both the Republic of Korea and the United States.”

Context: Gen. Brunson's summit appearance came the same day Seoul formally conveyed concerns over his OPCON remarks to Washington; his public framing emphasizes alliance durability while the bilateral OPCON dispute continues.

View on X →

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

KS

Defense Minister Kang Shin-chul
ROK Minister of National Defense

“The conditions-based OPCON transfer can 'never' be achieved if the conditions keep changing.”

Analyst: Kang confirmed Seoul formally conveyed concerns to Washington after USFK Commander Gen. Xavier Brunson stated 'conditions have changed,' setting up the OPCON debate as a central agenda item for post-US midterm defense consultations Seoul and Washington agreed to hold.

Source →

CH

FM Cho Hyun
ROK Minister of Foreign Affairs

“South Korea is an indispensable partner for US manufacturing and supply chain restructuring in semiconductors, batteries, nuclear energy, and shipbuilding — and the Korea-US alliance has become an irreplaceable alliance as the core axis of both nations' prosperity.”

Analyst: Cho delivered these remarks at the 36th Korea-US Business Council meeting, the same day President Lee met Council chair Evan Greenberg, underscoring a coordinated ROK push to reinforce the economic and security case for the bilateral relationship ahead of expected trade policy developments.

Source →

COMMENTARY

NK PRO

All the missiles and weapons at North Korea's new 'defense revolution' museum

NK Pro's floor-layout analysis of the National Defense Revolution Museum identifies over 25 missile launch vehicles and 15 drone and naval weapon types on display. The analysis notes the museum may be sited at a suspected nuclear facility in the mountains. The piece provides the most comprehensive open-source inventory of displayed DPRK strategic systems to date.

CSIS

Without Parallel: North Korean Human Rights and the Russia Axis

The CSIS Korea Chair publishes on the intersection of North Korean human rights conditions and the expanding Russia-DPRK military axis. The piece connects the deployment of DPRK troops to Russia with systematic human rights violations occurring outside established monitoring frameworks.

RESEARCH

WORLD POLITICS REVIEW A+

France and South Korea Want a Middle Power Coalition—to Save the Film Industry

The piece examines a France-South Korea initiative to build a coalition of middle powers around protecting national film industries from streaming platform dominance. It frames cultural protection as a foreign policy coordination vehicle for like-minded states outside the major power blocs. The initiative connects to broader ROK multilateral engagement and soft power strategy.

Implication: Relevant to ROK's middle-power diplomacy agenda and the France-South Korea bilateral relationship, which also encompasses security and industrial cooperation.

Read →

• SATELLITE & LOCATION WATCH

4 of 11 sites at elevated or alert status

DAILY NK (THERMAL SATELLITE IMAGERY) · OCT 13, 2026 — YONGBYON REACTORS — CONTINUOUS THERMAL OUTPUT CONFIRMED

Thermal satellite imagery confirms Yongbyon reactors running nonstop

Thermal satellite imagery published by Daily NK on October 13 confirms that reactors at the Yongbyon Nuclear Complex are operating continuously. The finding corroborates earlier NK News satellite imagery showing ongoing expansion of the uranium enrichment facility, including a new annex begun in mid-September 2026. IAEA previously confirmed in September 2026 that a new enrichment facility at Yongbyon is capable of producing material for up to four additional warheads annually.

→ Yongbyon Nuclear Complex

Daily NK — Yongbyon thermal imagery ↗

ELEVATED ▲

Yongbyon Nuclear Complex

Thermal satellite imagery (Daily NK, Oct 13, 2026) confirms Yongbyon reactors running nonstop. NK News satellite imagery confirms continued expansion of the uranium enrichment facility; construction of a new annex to the original uranium enrichment building began mid-September 2026. IAEA confirmed (Sep 9-10, 2026) a new uranium enrichment facility capable of producing material for up to four additional warheads annually. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running.

imagery as of 2026-10-13

ACTIVITY ▲

Sinpo South Shipyard

38 North satellite imagery (Oct 3, 2026) confirms several naval construction projects underway. NK News satellite imagery (Sep 25–26) confirms new warship construction begun at Chongjin Shipyard (east coast) and Nampho Shipyard (west coast) since early July — dual-coast concurrent construction. Hero Kim Kun Ok SLBM submarine exited drydock after 2+ years of fitting-out but still not operational as of May 2025. New submarine construction begun in separate bay.

imagery as of 2026-10-03

ACTIVITY ▲

Punggye-ri Nuclear Test Site

Nov 2025: ROK DIA assessed Tunnel No. 3 is test-ready and a nuclear test can be conducted at any time upon political decision. Site maintained at high readiness since mid-2024. The Sep 9, 2016 fifth nuclear test 10-year anniversary fell earlier this month; post-anniversary period historically carries elevated test risk. CNN/Yonhap reported Sep 18 that nearly 1,400 seismic events have been detected near the site since the 2017 test.

imagery as of 2026-09-18

ALERT ▲

Tumangang–Khasan (NK-Russia border)

Sep 8, 2026: The first road bridge over the Tumen River between North Korea and Russia was formally opened at a ceremony attended by Russian PM Mikhail Mishustin; the bridge is named after Soviet officer Yakov Novichenko. This constitutes a new permanent road link across the shared border, the first of its kind. NK News reporting confirms North Korea remains closed to private car travel via the bridge; crossings are limited to organized bus tours per the Association of Tour Operators of Russia (ATOR). NBC News analysis (Sep 15) frames the bridge alongside the near-complete Sinuiju-Dandong crossing as dual infrastructure bets by Pyongyang.

imagery as of 2026-09-15

ALERT ▲

Sinuiju–Dandong (NK-China border)

New Yalu River Bridge officially opened to traffic Thursday, Oct 15, per Xinhua (Oct 14, 2026) — more than a decade after construction was completed. AP and Reuters confirm the opening with trucks crossing in both directions. 38 North satellite imagery (Sep 29, 2026) had shown signs of activity at customs posts on both sides. Sep 21, 2026: ROK Embassy in Beijing confirmed the

ACTIVITY ▲

Rason SEZ

Chinese travel agents are openly promoting North Korea business trips to Rason and Pyongyang on social media, including factory and company visits, highlighting growing entry opportunities despite the ongoing ban on Chinese tourism (NK News, Oct 15, 2026). Sep 21-22, 2026: NK Pro satellite imagery analysis shows a likely Russian cargo vessel docked at Rason for the first time since May

cargo carried by heavy trucks crossing consisted of air-conditioning units (HVAC equipment) for the customs building. Hankyoreh English (Oct 6) confirms neon signs reading 'New Yalu River Bridge' illuminated on the bridge as of Oct 4.

imagery as of 2026-10-15

2026 — a roughly four-month gap after near-continuous activity in 2024-2025. Nov 2025: Chinese businesspeople re-entry to Rason SEZ expanded. Coal exports through Rason at highest levels in years throughout 2025. Arms export berth also active.

imagery as of 2026-10-15

ACTIVITY ▲

Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail. NK News satellite imagery (Sep 18) shows ongoing upgrades to DPRK urban warfare training facilities consistent with troops rotating back from Russia.

imagery as of 2026-09-18

4 other monitored sites: no new imagery in the last 30 days · oldest report 2025-09.

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Washington, D.C.

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